BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, PRAYAGRAJ

COMPANY PETITION CP (CAA) NO. 1 / ALD / 2023

Connected with

COMPANY APPLICATION CA (CAA) NO. 16 /ALD / 2022

(Under Sections *230 & 232* of the Companies Act, 2013)

In the matter of Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

1. **OBEETEE TEXTILES PRIVATE LIMITED**, a Private Limited Company incorporated under the Companies Act, 1956 having its Registered Office at Bisunderpur, Civil Lines, Mirzapur – 231001, Uttar Pradesh and Corporate Identification Number U18101UP1995PTC018737 within the jurisdiction of this Tribunal

….. Petitioner Transferor Company / Demerged Company

AND

2. **OBEETEE PRIVATE LIMITED**, a Private Limited Company incorporated under the Companies Act, 1913 having its Registered Office at Bisunderpur, Civil Lines, Mirzapur –231001, Uttar Pradesh and Corporate Identification Number U17226UP1932PTC000475 within the jurisdiction of this Tribunal

….. Petitioner Transferee Company / Resulting Company

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ORDER PRONOUNCED ON: 29.03.2023

CORAM:

Shri Praveen Gupta : Member (Judicial)

Shri Ashish Verma : Member (Technical)

Counsel Appeared Through Physical Hearing:

Sh. Shashi Kant Gupta with Sh. Ankit Kumar Singh, PCS(s) : For Petitioner Company

Sh. Ajit Kumar Singh, AOL : For O.L. Alld/ RD (NR)

Sh. Shivendra Bahadur, Adv. : For ROC

ORDER

Per: Mr. Praveen Gupta, Hon'ble Member (Judicial)

1. The present Joint Company Petition is filed by the Petitioner Companies above named under Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for sanction of the Scheme of Arrangement for Demerger of the 'Woven Business' (the 'Demerged Undertaking') of Obeetee Textiles Private Limited, ('Petitioner Transferor Company / Demerged Company') and vesting the same as a going concern with Obeetee Private Limited ('Petitioner Transferee Company / Resulting Company'). ['Petitioner Transferor Company' and the 'Petitioner Transferee Company' hereinafter collectively referred to as the 'Petitioner Companies'].

2. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows:

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(i) The proposed 'Scheme of Arrangement' has previously been approved by the Board of Directors of the Petitioner Companies in their respective Board Meetings held on 29th July, 2022.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as on 31st March, 2022 is described in the present Company Petition.

(iii) The rationale of the proposed Scheme of Arrangement is elaborately described in the present Company Petition which may be summarized as under:

2.1 The Scheme of Arrangement provides for Demerger of Woven Business' (the 'Demerged Undertaking') of Obeetee Textiles Private Limited and vesting it as a going concern with Obeetee Private Limited pursuant to Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and rules made thereunder.

Rationale for Demerger

The Transferor Company / Demerged Company has in place a management structure in the form of business verticals / undertakings to dynamically review, evaluate and forecast developments in the concerned sectors and to monitor the performance and improve returns from such specialized investments. The nature of risks and competition involved in each such undertaking is distinct and requires attribution of dissimilar technical and managerial focus. With a view to concentrate the growth

efforts in a focused manner and to provide flexibility to manage each of the business divisions using strategies optimal to the nature and return profile of the division, the management of the Transferor Company / Demerged Company proposes to undertake a Scheme of Arrangement to demerge its interests in the Demerged Undertaking on a going concern basis, and vest the same with the Transferee Company/Resulting Company. The Boards of the Companies are of the view that the demerger of the Demerged Undertaking of the Transferor Company / Demerged Company into the Transferee Company / Resulting Company pursuant to this Scheme, inter alia, would lead to following benefits:

(i) Demerged Undertaking which is a part of the Transferor Company / Demerged Company is more synergistic to Transferee Company / Resulting Company and its risk and rewards are also aligned to that of the Transferee Company / Resulting Company;

(ii) Segregating the businesses would enable independent business opportunities, attracting different sets of investors, strategic partners and other stakeholders and would bring about greater internal control on business processes / ease in decision making;

(iii) The activities of each of the business undertaking(s) will be carried on more economically, conveniently and advantageously post restructuring and the same will have beneficial results for the shareholders, stakeholders and all concerned;

(iv) The Scheme will provide logistical advantage to all the stakeholders due to proximity of business premises of Demerged Undertaking near to the existing business premises of the Transferee Company/Resulting Company.

(v) Unlocking of value for the shareholders of the Transferor Company / Demerged Company by transfer of the Demerged Undertaking, which would enable optimal exploitation, monetization, and development of the Non-Woven Undertaking by attracting focused investors, joint venture partners and strategic partners having the necessary ability, experience, and interests in this sector and by allowing pursuit of inorganic and organic growth opportunities in such businesses;

(vi) The segregation shall enable them to move forward independently, with greater focus and specialization, building on their respective capabilities and their strong brand presence. It will also help to channelize resources required for all the businesses to focus on the growing businesses and attracting right talent and providing enhanced growth opportunities to existing talent in line with a sharper strategic focus on each business segment under separate entities;

(vii) The Scheme will also enable the Transferor Company / Demerged Company and the Transferee Company / Resulting Company to focus and enhance its respective businesses by streamlining operations and its management structure ensuring better and more efficient management control.

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2.2 In consideration of the above mentioned business rationale and related benefits, this Scheme of Arrangement between Obeetee Textiles Private Limited and Obeetee Private Limited is propounded in accordance with the terms set out in the Scheme of Arrangement. The Board of Directors of the Petitioner Companies are of the opinion that the proposed Scheme is in the best interests of these Companies, their Shareholders and other Stakeholders.

3. The Petitioners have stated that the accounting treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona-fide* and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

6. It has been stated that the Petitioner Companies are closely held Companies and their Equity Shares are not listed on any Stock Exchange. Further, the Petitioner Companies are under common management and control.

7. The Petitioner Companies have annexed the Share Exchange Ratio Report dated 28th July, 2022 given by CS Mallika Goel, a Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI). As per the said Report, the Petitioner Transferee Company / Resulting Company shall not be required to issue any shares in consideration for Demerger of 'Woven Business' of the Petitioner Transferor Company / Demerged Company since the Petitioner Transferor Company / Demerged Company is a Wholly-Owned Subsidiary of the Petitioner Transferee Company / Resulting Company.

8. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No. 16 / ALD / 2022 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of Equity Shareholders and Secured Creditors of the Transferor Company / Demerged Company and the Meetings of Equity Shareholders, Preference Shareholders and Secured Creditors of the Transferee Company / Resulting Company and to convene separate meetings of Unsecured Creditors of both the Transferor Company / Demerged Company and the Transferee Company / Resulting Company. Accordingly, this Tribunal vide its order dated 1st November, 2022 allowed the above mentioned prayers and directed to convene separate meetings of Unsecured Creditors of both the Transferor Company / Demerged Company and the Transferee Company / Resulting Company under the supervision of Mr. Krishna Dev Vyas, Advocate, Chairman and Mr. Ankit Kumar Singh, Scrutinizer on Saturday, 17th December, 2022 at 11.30 A.M. and 2.00 P.M. respectively at the Registered Office of the Petitioner

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Transferee Company / Resulting Company situated at Bisunderpur, Civil Lines, Mirzapur – 231001 (U.P.) for the purpose of considering and, if thought fit, approving, the proposed Scheme of Arrangement and dispensed with the requirement of convening meetings of Equity Shareholders and Secured Creditors of the Transferor Company / Demerged Company and the Equity Shareholders, Preference Shareholders and Secured Creditors of the Transferee Company / Resulting Company.

This Tribunal further directed to issue notice of the Company Application along with Scheme of Arrangement and related documents to the Statutory Authorities, viz. (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur; and (c) the Income-Tax Department having jurisdiction over the Petitioner Companies.

9. A perusal of the present Petition discloses that in pursuance of the directions contained in Order dated 1st November, 2022, passed by this Tribunal in Company Application No. 16 /ALD / 2022, separate meetings of Unsecured Creditors of both the Transferor Company / Demerged Company and the Transferee Company / Resulting Company were duly convened and held on Saturday, 17th December, 2022 in physical mode at the Registered office of the Transferor Company / Demerged Company and the Transferee Company / Resulting Company as per the following Schedule:

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Sl. No.	Particulars	Time
1.	Unsecured Creditors of the Transferor Company / Demerged Company.	11:30 A.M.
2.	Unsecured Creditors of the Transferee Company / Resulting Company.	2:00 P.M.

The Scheme of Arrangement was considered and approved unanimously in the respective meetings of the Unsecured Creditors of both the Transferor Company / Demerged Company and the Transferee Company / Resulting Company, without any modifications. The Chairperson appointed for the meetings has filed his Reports on 31st December, 2022 which are enclosed as Annexure No. P-14 and P-15 with the Petition.

10. Notice of the Company Application along with the Composite Scheme of Arrangement and related documents was also given to the Statutory Authorities viz. (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur and (c) the Income-Tax Department having jurisdiction over the Petitioner Companies. The Petitioner Companies have filed Affidavit of Service of Company Application on 6th December, 2022.

11. This Tribunal vide its order dated 11th January, 2023 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Times of India" (English) and "Amar Ujala" (Hindi) newspapers having wide

circulation in Mirzapur District in the State of Uttar Pradesh in which the Registered offices of the Petitioner Companies are situated.

12. In compliance thereof, the Petitioner Companies on 15th February, 2023 filed Affidavit of service and publication, confirming that notices have been duly published in "Times of India" (English) and "Amar Ujala" (Hindi) newspaper having wide circulation in Mirzapur District in the State of Uttar Pradesh in which the Registered offices of the Petitioner Companies are situated. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) the Registrar of Companies, Uttar Pradesh, Kanpur and (c) the Income -Tax Department having jurisdiction over the Petitioner Companies.

13. In response to the above stated notice, the Registrar of Companies, Ministry of Corporate Affairs, Uttar Pradesh submitted its Report dated 17th February, 2023 to the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi.

14. In response to the above stated notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi has filed his Representation Affidavit dated 28th February, 2023 ("RD affidavit") which did not contain any adverse observation or remark on the proposed Scheme of Arrangement

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15. As per the Affidavit of Service filed by the Petitioner on 15th February,2023, Notices of the Second Motion Company Petition were served upon the Income-Tax Department having jurisdiction over the Petitioner Companies on 21st January,2023 for filing their response to the Second Motion Company Petition. The Income-Tax Department vide Letter F. No. DCIT / C-1 /VNS / NCLT / 2022-23 Dt. 23rd February,2023 addressed directly to the registry of this Tribunal, conveyed its No Objection to the proposed Scheme of Arrangement.

16. The Petitioner Companies on 28th February, 2023 also filed an Affidavit confirming that neither the Petitioner Companies nor their Legal Counsel has received any objection / representation from any person against the Company Petition or the proposed Scheme of Arrangement in response to the publication of the notice of hearing of the present Petition in newspapers.

17. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur and after perusing the same and hearing the submissions made by the Ld. Counsel representing the Petitioner Companies, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme of Arrangement is not against public policy, nor it would be prejudicial to the public interest at large.

18. In addition to above, all the statutory compliances seem to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer Clause.

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19. As a result, the proposed Scheme of Arrangement, which is annexed to the Company Petition stands approved and sanctioned and the same shall be binding on all the Shareholders, Creditors and other Stakeholders of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the 'Appointed Date', i.e. 1st April, 2022. The Petitioner Companies are required to act upon as per the terms and conditions of the sanctioned Scheme of Arrangement.

20. While approving the Scheme of Arrangement as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, as applicable), taxes (including Income-Tax, GST or other charges, if any, as applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law.

21. THIS TRIBUNAL DO FURTHER ORDER:

i. Upon the Scheme becoming effective, all the property, rights and powers pertaining to the 'Woven Business' ('Demerged Undertaking') of the Transferor Company / Demerged Company specified in Annexure B of the Schedule hereto be transferred, without any further act or deed, to the Transferee Company / Resulting Company and accordingly, the same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company / Resulting Company for all the estate and interest of the 'Demerged Undertaking' of the Transferor Company / Demerged Company therein but subject nevertheless to all charges now affecting the same; and

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ii. Upon the Scheme becoming effective, all the liabilities and duties pertaining to the 'Demerged Undertaking' of the Transferor Company / Demerged Company be transferred, without further act or deed, to the Transferee Company / Resulting Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company / Resulting Company; and

iii. Upon the Scheme becoming effective, all the employees of the 'Demerged Undertaking' of the Transferor Company / Demerged Company, in service on the Effective Date, shall be transferred to and shall become the employees of the Transferee Company / Resulting Company as provided in the Scheme of Arrangement;

iv. Upon the Scheme becoming effective, all proceedings now pending by or against pertaining to the 'Demerged Undertaking' of the Transferor Company / Demerged Company be continued by or against the Transferee Company / Resulting Company; and

v. Upon the coming into effect of the Scheme, and in consideration for the transfer of and vesting of properties assets and liabilities of the undertaking of the Transferor Company/ Demerged Company in the Transferee Company/ Resulting Company in terms of this Scheme, the Transferee Company/ Resulting Company shall not be required to issue any shares, since Transferor Company/ Demerged Company is a wholly owned subsidiary of Transferee Company/ Resulting Company

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22. The Petitioner Companies shall within thirty days of the date of the receipt of certified copy of this Order cause a copy of this order delivered to the Registrar of Companies, Uttar Pradesh, for registration.

23. The Petitioner Companies shall supply legible print outs of the Scheme of Arrangement and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

24. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

25. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the Scheme of Arrangement duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

26. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

27. Accordingly, the present Company Petition bearing CP (CAA) No. 1 / ALD / 2023 is allowed and stands disposed of.

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(ASHISH VERMA)
Member (Technical)

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(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda
(LRA)